

**B. PERIOD 1928-1939**

Results are shown per \$100 of original investment, because of decrease in First Preferred Stock outstanding due to repurchases by the company.

| Date          | Public's investment | Organizers' investment |
|---------------|---------------------|------------------------|
| Book value:   |                     |                        |
| Dec. 31, 1928 | \$130*              | \$550                  |
| Dec. 31, 1932 | 100*                | 35                     |
| Dec. 31, 1933 | 100*                | 96†                    |
| Dec. 31, 1939 | 108*                | 215                    |

\* First Preferred at par, plus liquidating value of attached common.

† Exclusive of claim for accumulated Second Preferred Dividends.

| Date          | Public's investment* | Organizers' investment* | 1st Pfd. | 2d Pfd. (est.) | Common |
|---------------|----------------------|-------------------------|----------|----------------|--------|
| Market price: |                      |                         |          |                |        |
| High, 1929    | \$170                | \$1,150                 | 100      | 80             | 70     |
| Low, 1932     | 27½                  | 11½                     | 26       | 10             | 1½     |
| Dec., 1933    | 73                   | 170                     | 65       | 50             | 8      |
| Dec., 1939    | 87                   | 165                     | 80       | 60             | 7      |

\* Per \$100.

The actual operation of this arrangement from the standpoint of both book value ("break-up value") and market quotations is shown by the preceding tabulation.

These figures show typical results for a highly speculative capital structure under both favorable and unfavorable developments. It will be noted that the variations in book or break-up value were greatly intensified in the market by the excessive optimism and pessimism of the public's attitude toward investment trust securities. It is significant to observe also that when a book value about equal to the original investment per share was reestablished, in 1933, the market registered a substantial depreciation for the public's part of the capital and a corresponding premium for the organizers' interest.